

THE **UNICORN** ENTRY FUNCTION.

An in-depth overview of the unicorn entry function and the variables pertaining.

[Let's take a closer look >](#)



Time Variables

Topic



Probability

Topic



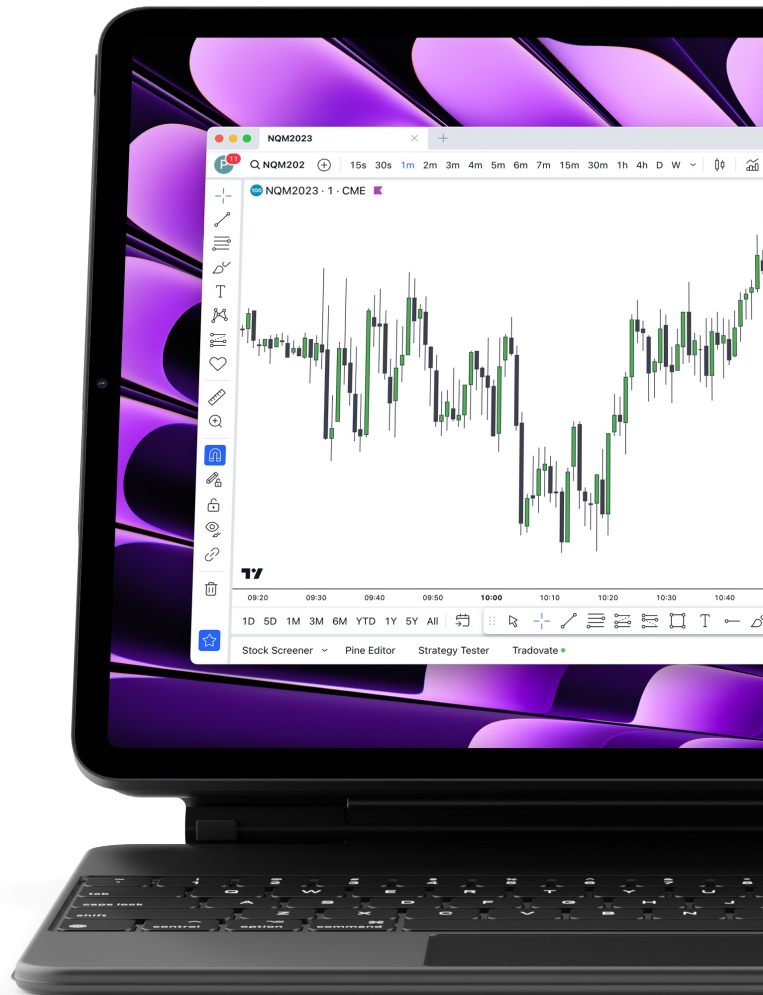
Management

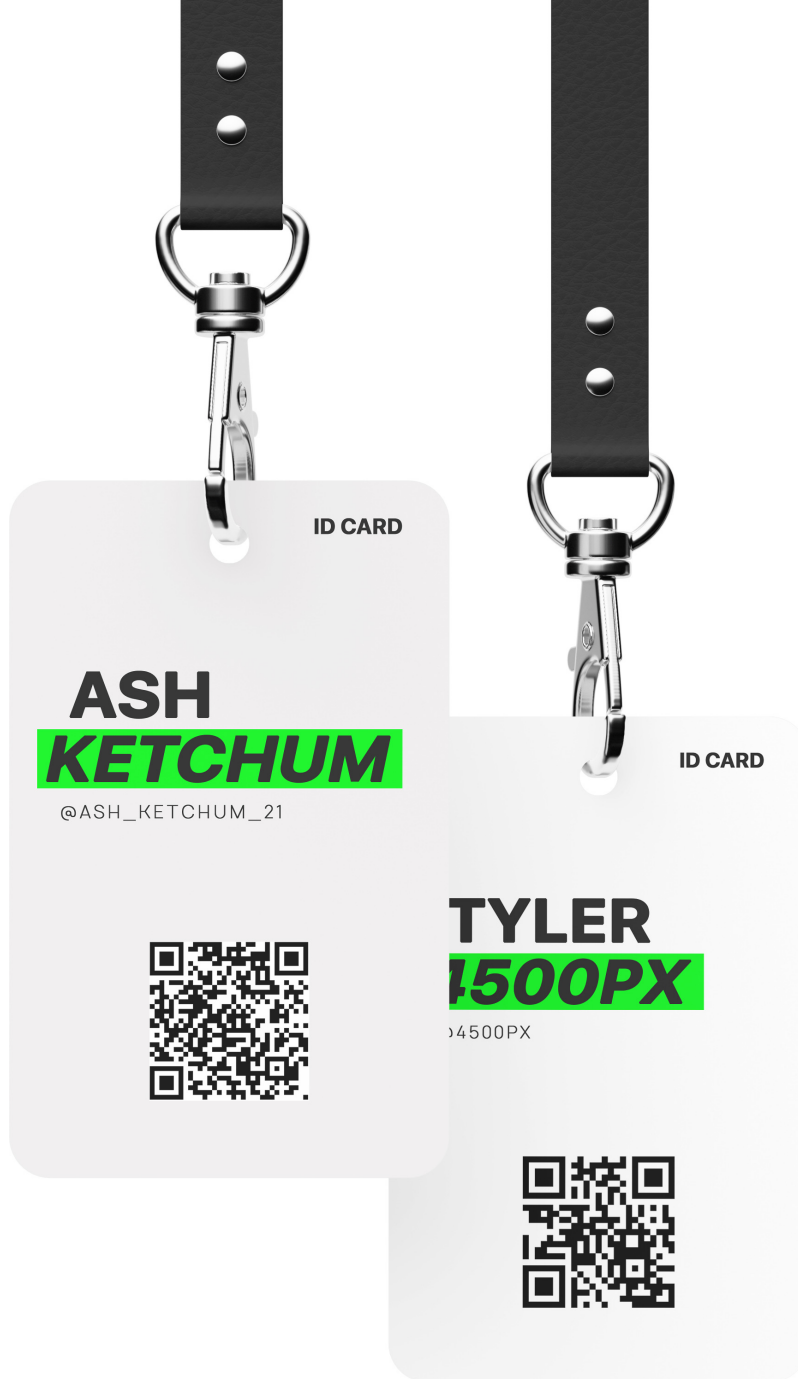
Topic



Liquidity

Topic





CREDIT.

GETTING **STARTED**

The functions used for the unicorn will be defined and explained in the order of importance that they are considered during analysis. Understanding these concepts and being able to utilize them are what provides probabilities in the marketplace. As an investor or trader, it is our job to place ourselves within higher probability situations for a more likelihood of success. Internalizing these concepts comes from being able to define and identify them. It will provide the justifications needed to understand whether to execute. It will provide confluence to your thoughts or ideas. Lastly it will clear all the questions your mind goes through during executions. Simply if the concepts are not present you know there is no trade. If the concepts are present, we can continue to hunt.

Who is Ash?

- Day trades futures in the traditional markets.
- Time based trader that focuses on NY am session.
- Pairs traded: ES & NQ
- Entry model: Unicorn
- Preferred draw on liquidity: equal highs or equal lows
- 6 years of experience
- Masters in psychology
- 100k funded APEX account
- 100k funded personal AMP account



Who is Ash Ketchum.

Hello everybody! Quick introduction to start this off. I'm a real estate developer down in the Carolinas who uses the equity and crypto markets as a vehicle to liquidity. I have been working on growing my passive sources of income through day trading equity markets.

I continuously make day trades each morning to earn short term profits to be sent to real estate acquisitions. Currently I have short term rentals for college students and Airbnb's in the Carolinas.

For equities I use futures on AMP during opening bell to leverage shorter term moves in the markets. I am here in the morning doing my research and due diligence to prepare for the markets each day. I make shorter term leverage plays during the opening of the equity markets.

From years of trading, I can easily say from my experience that "Give a man a fish, and you feed him for a day. Teach a man to fish, and you feed him for a lifetime."

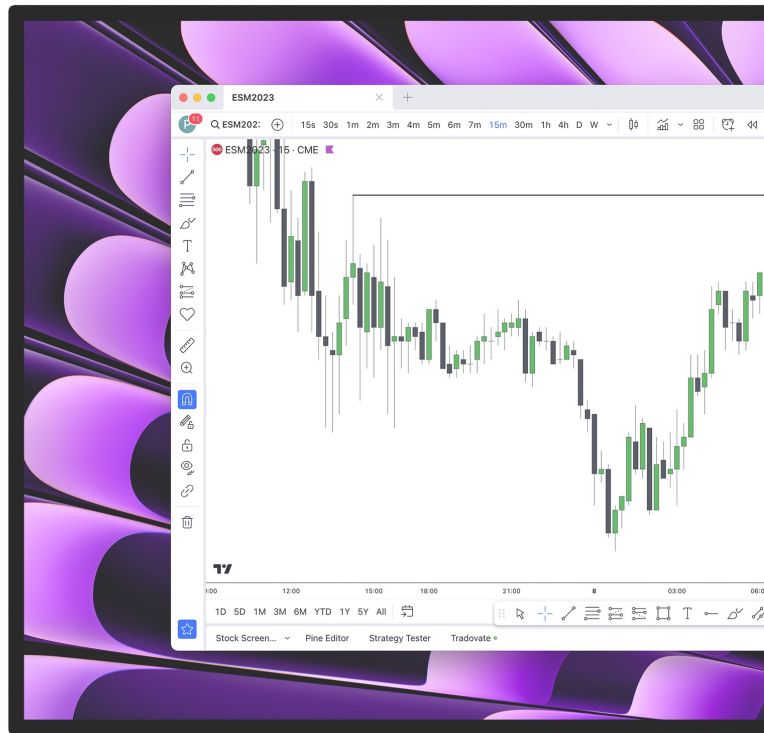
With that being said education takes time. Therefore, give yourself time. Practice is needed to obtain these skills and to have an understanding of these markets. Therefore give yourself time. This is the test of time and with the right risk management and education I believe anybody is capable of achieving these skills.

We are all here to learn and grow. As a collective whole we can make advancements in our education, experience, and knowledge.

After years of studying psychology and obtaining a master degree in it from a New York State University I have found that the markets have a psychology of its own. It is what has fascinated me the most to give me the never ending interest in them. Price is one study and your own mind is the other. Forever a student of the market and the mind.

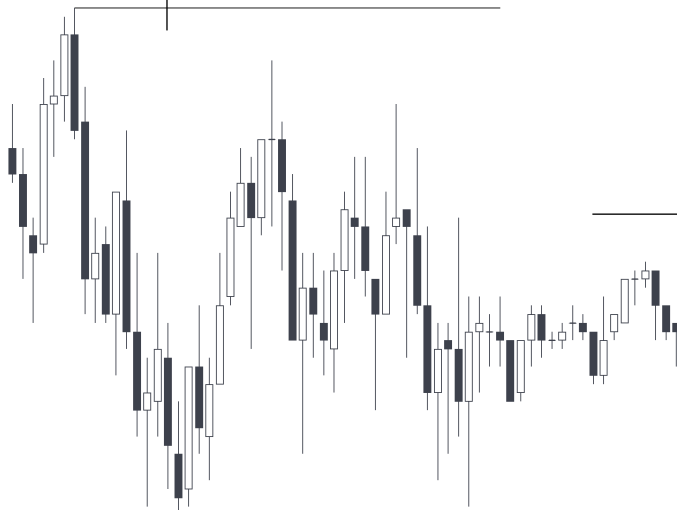
A CLOSER LOOK AT ***SMOOTH** EDGES*

Smooth edges, also known as equal highs and lows, is a function regarding draw on liquidity and the reason price moves in a specific direction. By going beyond surface-level knowledge, we can engage in more detailed analysis, evaluate various perspectives, and address complex intricacies related to the topic



Smooth Edges

A clear example of price presenting smooth edges, and how it acts as a draw for price when included within a framework.



Execution

How can we use this draw on liquidity to develop a position.

"Smooth edges are made rigid" - ICT

Draw on liquidity

This is used to attract price, why will price move to this place?



Time aligned with price

We correlate the draw of liquidity with time for our position

Draw on liquidity

Again, we can see price form
these smooth highs, not rigid



Time with price

Time is aligned with price, expect a
run of smooth highs at a specific time

Draw on liquidity

Price manufactures liquidity to
draw price towards



Time aligned with price

We expect price to raid smooth
edges at a specific time

IN-DEPTH **TIME** ELEMENTS

Time Sessions

The various time sessions and what to expect; the times we should and should not be trading.

News Drivers

How we incorporate news drivers into our model, and the way price reacts.



Time is an **essential** concept when trading the varying sessions, to ensure news does not provide **unfavorable** conditions in addition to having the correct expectation of price

WHATS THE IMPORTANCE OF TIME



When talking about time we're referencing the time zone of New York [UTC-4], this is one of the primary aspects within trading that most new traders neglect to begin to understand.

There are sessions ingrained into price each day where we can begin to expect precise characteristics to capitalize upon

[INDICES]

ASIA RANGE



20:00 - 00:00

London Killzone



02:00 - 05:00

New York AM Killzone



09:30 - 12:00

New York PM Killzone



13:30 - 16:00

00:00

00:00

News drivers.

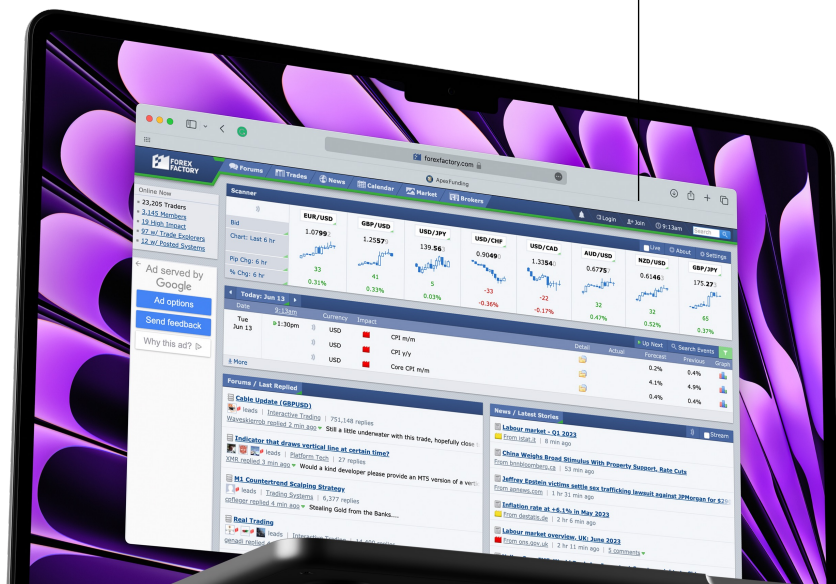
It's essential to monitor news drivers for the day to see how they will impact your trading schedule

> Visit www.forexfactory.com

A news driver after the 09:30 open will most likely result in consolidation of price as the liquidity injection is yet to arrive, in this instance I'd recommend waiting for the driver.

However, a news driver pre-09:30 open can allow for early position searching as the primary liquidity injection has already been induced; for example, a 08:30 driver would allow for position searching following.

Website
ForexFactory.com



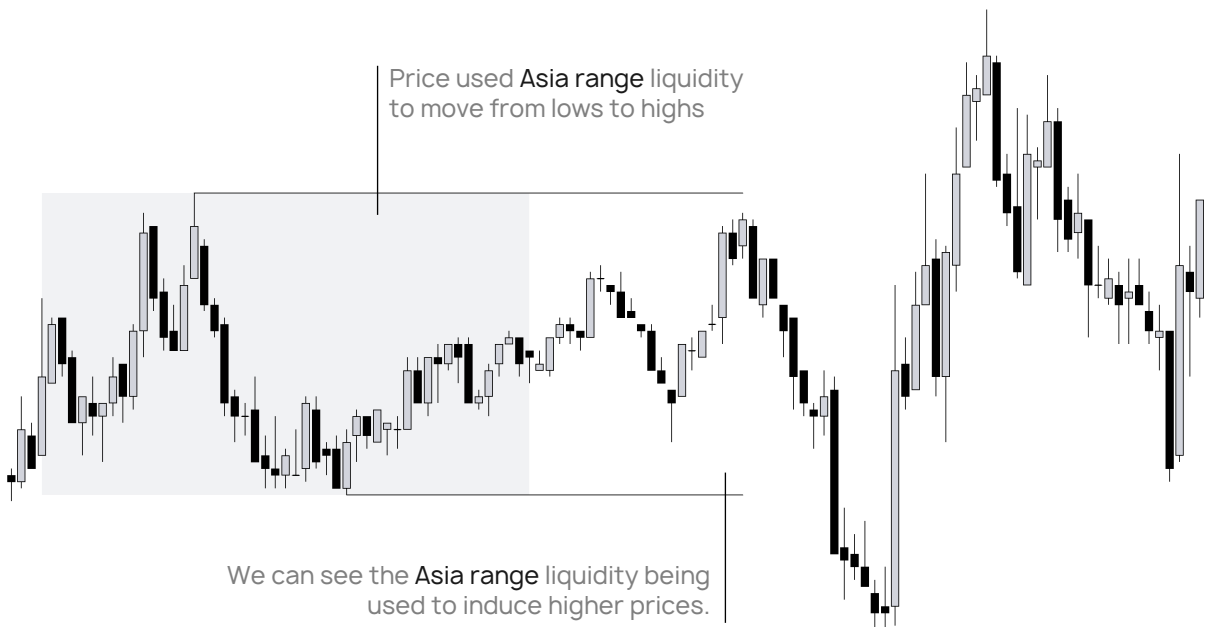
Asian Range

20:00 – 00:00 [UTC-4]

- The **least volatile** of the sessions
- Most usually a **consolidation profile**
- Can provide direction for **London and New York price**
- No **news drivers** present
- We **Do Not** look to trade the Asian range, less liquidity = more risk

As a result of lower liquidity within this session there is a greater chance of a **larger spread** or **orders failing to be filled**, as a result, this increases risk in participation, therefore we do not take part.

However, this does not mean we cannot use the Asia range to **influence our own trading** within the London and New York session, as a result of most usually consolidating this range will most often provide the ability to utilize its liquidity as a **draw**.



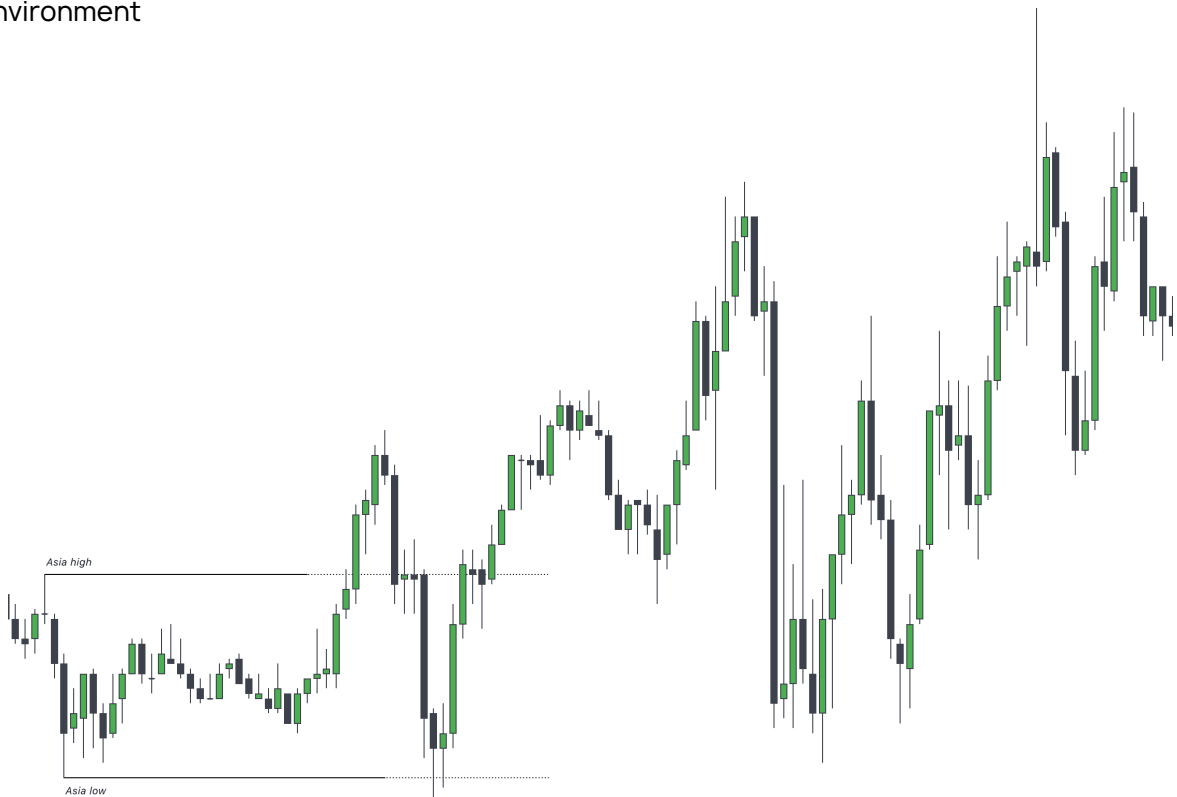
Asian Range 20:00 – 00:00 [UTC-4]

In addition....

In the event that the London session takes both the Asian range high and the low, we can use this information to suggest the New York AM session will present a search and destroy daily profile

A search and destroy profile is where price will continuously look to clear stop loss levels inducing choppy price that we do not voluntarily want to expose our self to.

When London takes both Asia range high + low we expect session to produce a low-quality environment



New York AM session

09:30 – 12:00 [UTC-4]

- Typically has two scenarios, continuation of London's move or a complete reversal on the daily direction
- Most news drops during this session
- We can utilize London and Asia range liquidity as a draw

Our variables...

We first wait for the 09:30 open as a rule before engaging with the session

A run of stops, which we identify as our Judas upon open must be present

We must consider time the highest importance more specifically macros

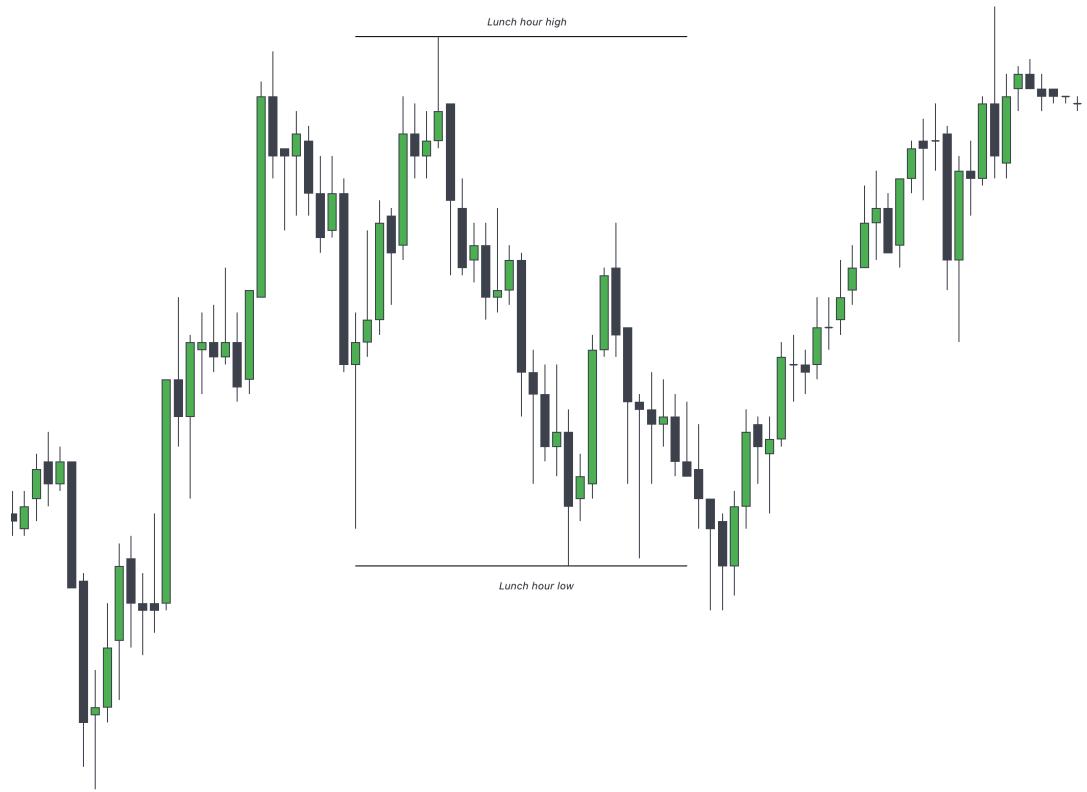
Draw on liquidity identified as smooth edges must also be present

Displacement within our entry function is essential

Lunch session 12:00 – 13:00 [UTC-4]

We can use the lunch session moving into the PM session, ICT states that the high and lows of this Lunch session can be used as targets

'If there is a shift in market structure after 1pm price will most likely run for lunch and AM session buy stops.



My hunting hours.

Going into detail !

Hunting hours is fully examined through the scope of probability. Probability comes from; liquidity, psychology, and emotions.

Hunting hours means you will only analyse or participate in price during this window of time.

Higher probability hunting hours for liquidity is during 8:30am EST to 11am EST. This is considered NY AM session. Higher probability hunting hours are also from 1:30pm EST to 3:30pm EST. This is considered NY PM session. We only analyse and execute during this time because there will be more liquidity injections due to NY open and new drivers. You will find more efficient price shown through these concepts during these times.

Higher probability hunting hours also comes from psychology. Trading is 80% mental and 20% price. Therefore, if you are not in the right mindset then it is not higher probability times. This could be due to being too tired or having your focus distracted on other work. If you are unable to focus 100% on your trading, then your psychology is going to diminish. If you are distracted by friends, family, or significant others it is best to not trade at all. Your mental needs to be on point. Your mental and your psychology is where the real edge in trading lies.

Lastly is your emotions. If you are too greedy to take profits when they are giving to you then don't trade. If you are too fearful to take on risk, then don't trade. If you get too euphoric during winners then don't trade. If you get too sad during losers then don't trade. Price needs to be black and white. There should be no emotional attachment to any part of this process. The only form of management, execution, or analysis should be strictly derived from price and nothing else.

Therefore; hunting hours all three of these concepts need to align. When one of these concepts are deterred then simply have patience and wait until you are on aligned correctly.



What are Macros

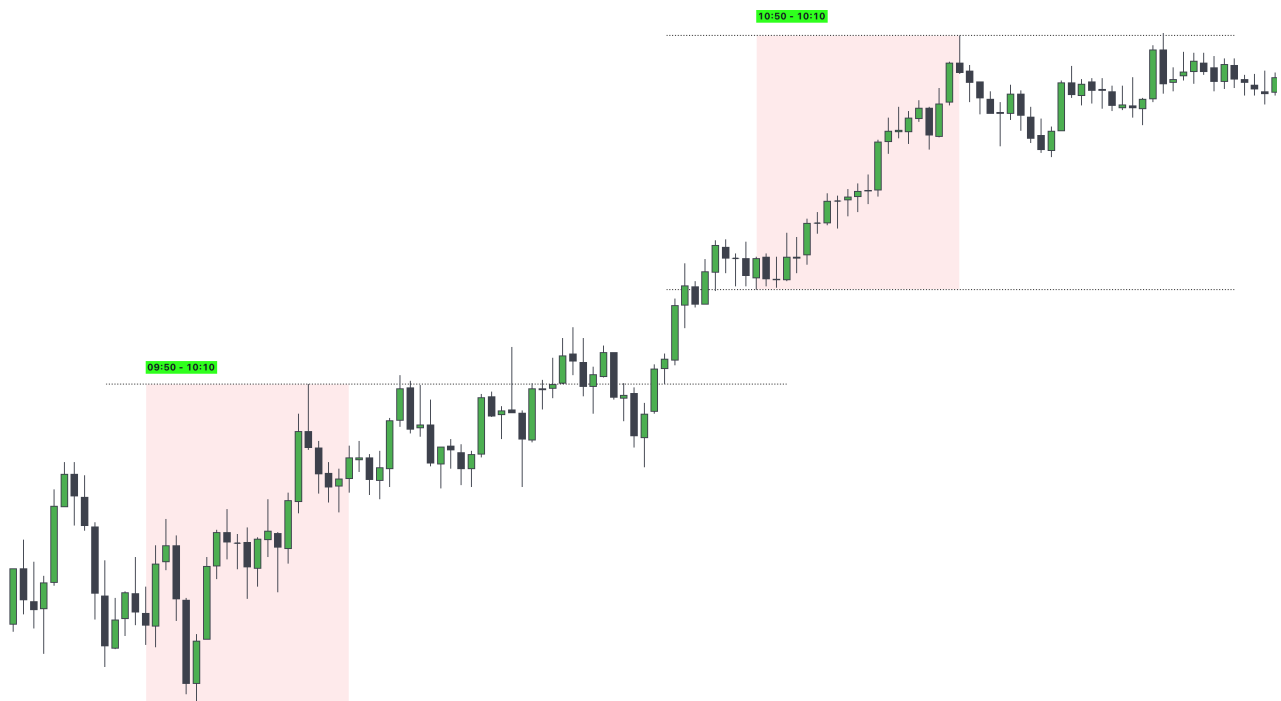
- Macros are time slots where the algorithm will produce a piece of significant price
- Price will most likely interact with existing liquidity
- It can also look to create new liquidity

09:50 – 10:10

This macro occurs within the New York AM session, we can use this to expect a run of liquidity or to create new liquidity, the algorithm should produce a piece of significant price.

10:50 – 11:10

This macro also occurs within the New York AM session and again should result in a piece of significant price forming, although this will not always occur.



"The Macro is a short order of instructions for the algorithm to seek another set up to either reverse or continue"

Macro /time windows

8:50 – 9:10

New York AM session

09:50 – 10:10

New York AM session

10:50 – 11:10

New York AM session

11:50 – 12:10

Lunch session [We don't participate]

12:10 – 13:40

New York PM session

15:15 – 15:45

New York PM session

Understand macros

We're looking to identify the set of instructions that has been placed into the algorithm. Within these windows we search for either accumulation, manipulation, or expansion. We ask ourselves is price running above an old high or low (manipulation)? Is price creating a + breaker or minus breaker(expansion)? Is price consolidating (accumulation)? If we can understand the set of instructions being put into the macro windows we can have higher probability in understanding what the next move may be.

Smart money technique.

Smart money technique [SMT] is a crack in correlation between averagely correlated pairs such as, ES – NQ – DOW

[1]

When to correlated assets diverge in price this is known as SMT.
We use SMT to gain insight in weakness or strength in price.

[2]

For example; ES and NQ are correlated assets. When ES is making higher lows AT THE SAME TIME NQ is making a lower low. This shows that ES is showing strength.

[3]

Furthermore this crack in correlation can also help us identify when liquidity has been taken and we can anticipate a market structure shift.

[4]

For example; After running below an old low if we see ES showing SMT against NQ we can have insight that liquidity was grabbed and begin searching for a market structure shift and displacement.

[5]

SMT is not a stand alone entry trigger. SMT is an additional confirmation to an idea.

'When already anticipating a move, you can use divergence as confirmation' SMT should only be used as a confirmation to an already – developed thesis

Smart money technique.

Smart money technique [SMT] is a crack in correlation between averagely correlated pairs such as, ES – NQ – DOW



We can see NQ failed to make a lower low while ES made a low; this shows NQ's strength and provides us with the notion to expect a structure shift

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New week opening gaps.

New week opening gaps are gaps in price generated at the start of each new week, we use these as true support and resistance for price and utilize them throughout the week.

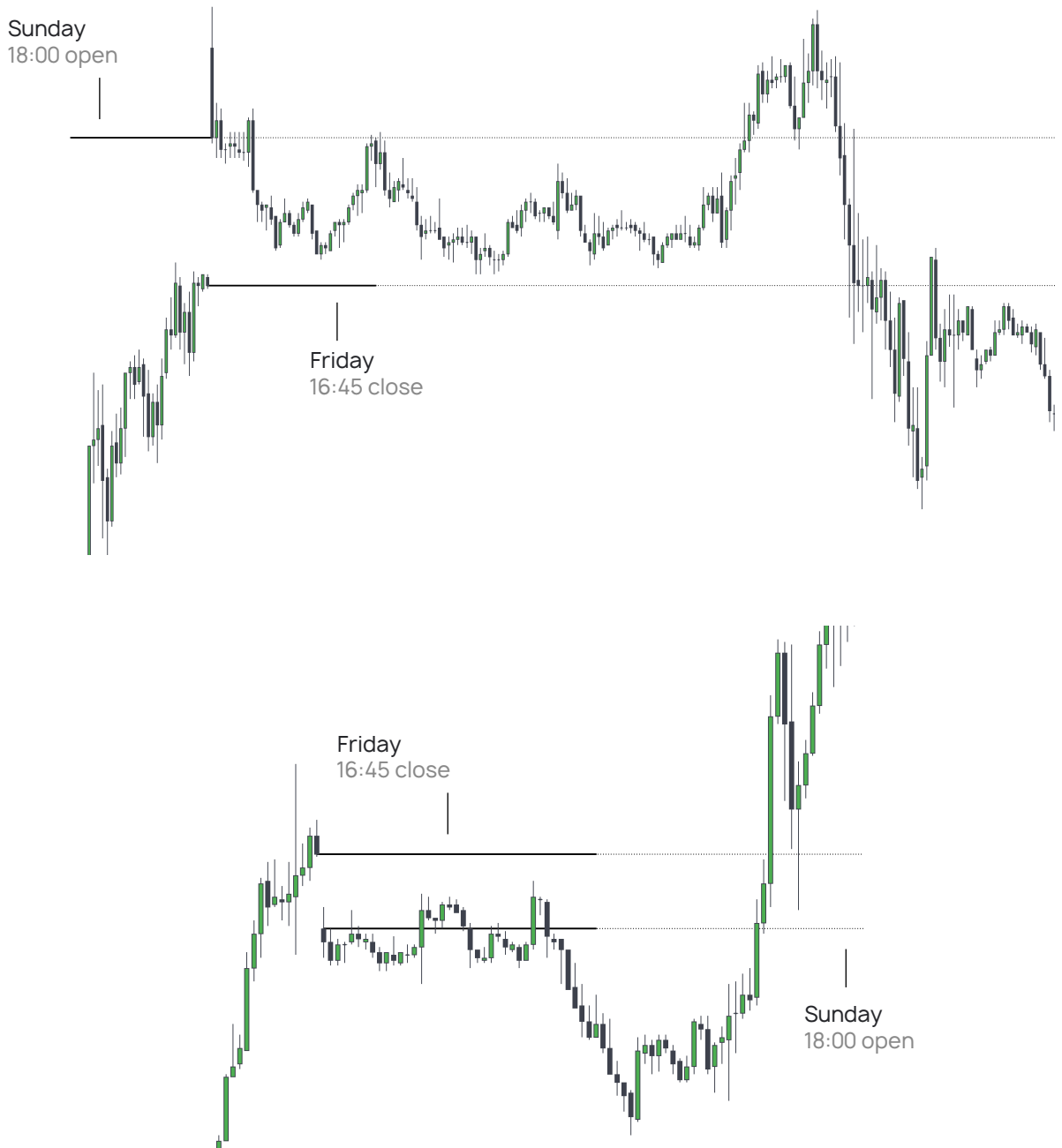
New week opening gaps will only act as true support and resistance if price is consolidating rather than trending, in the event that price is trending its unlikely the gap will provide S/R



'New week opening gaps are a **soft bias** – minimum expectation.
A soft bias is a thesis that's concluded using **only technicals**.

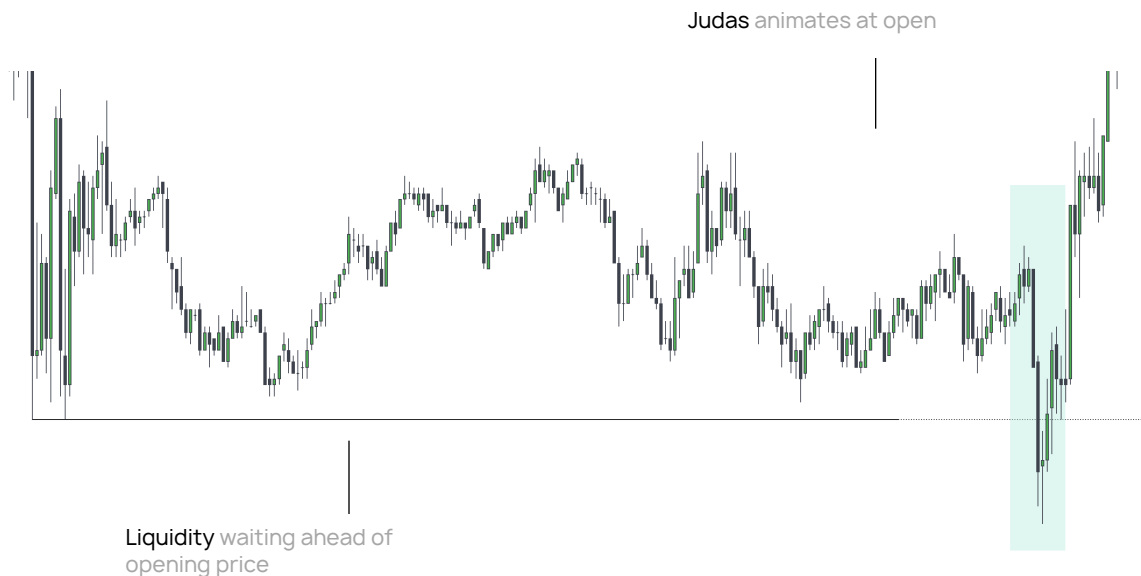
New week opening gaps.

How to identify?



Opening price.

Opening price is an essential variable, especially regarding the liquidity, we look for a judas (swing in the opposing direction) to take liquidity before producing our model.



Price will manufacture liquidity pre-session open; we will use this to expect a judas to take the liquidity before animating our entry function



Environment conditions

What can prevent us from participating?

Large range expansion [Before session]

In the event that we have a large expansion from the TDO before session, its expected that we will encounter choppy price and high liquidity runs. This provides low quality conditions that we do not participate



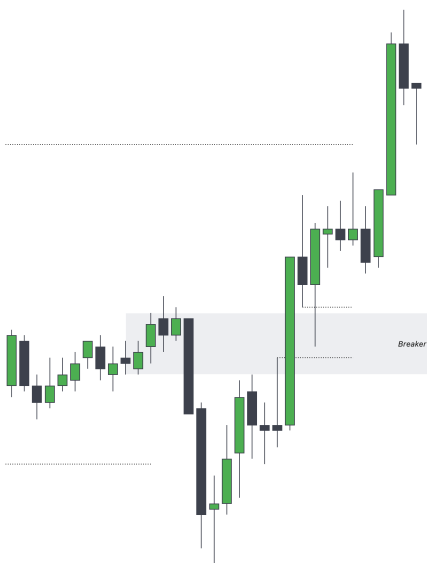
Unicorn.

That is a unicorn [FVG inside of a breaker] one of the strongest algorithmic entry positions ever...especially after you have taken out liquidity on opening price.

Breaker.

This is a failed orderblock, when price fails to stop and moves easily through, it converts to a breaker, this then acts as support and resistance for price

We utilize this in addition to other variables, although it's the primary characteristic within the unicorn model framework.



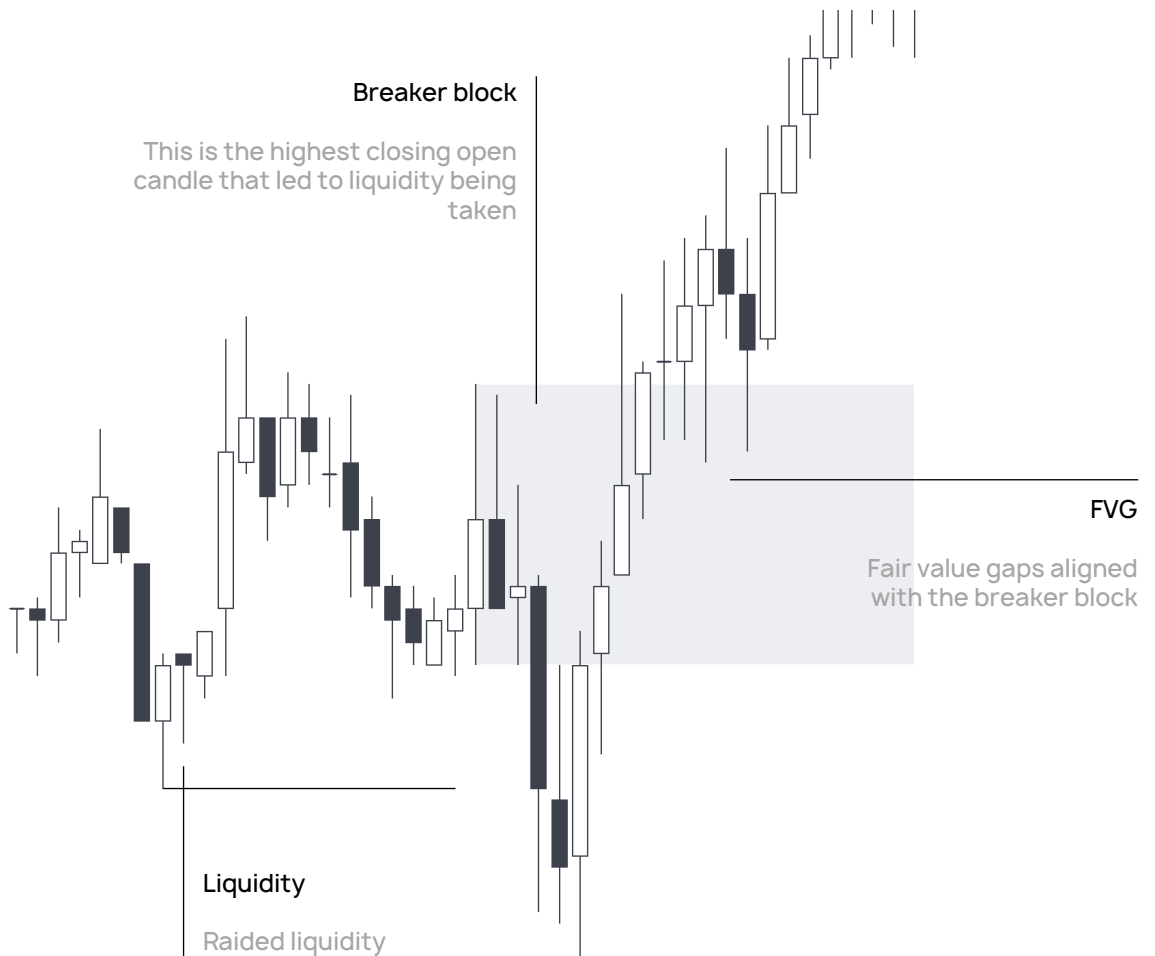
Price is required to move or displace through the breaker block showing its strength

Without an impulse through the breaker, aligning an FVG we do not look to participate

It will be clear to identify when an FVG has aligned with a breaker following opening price

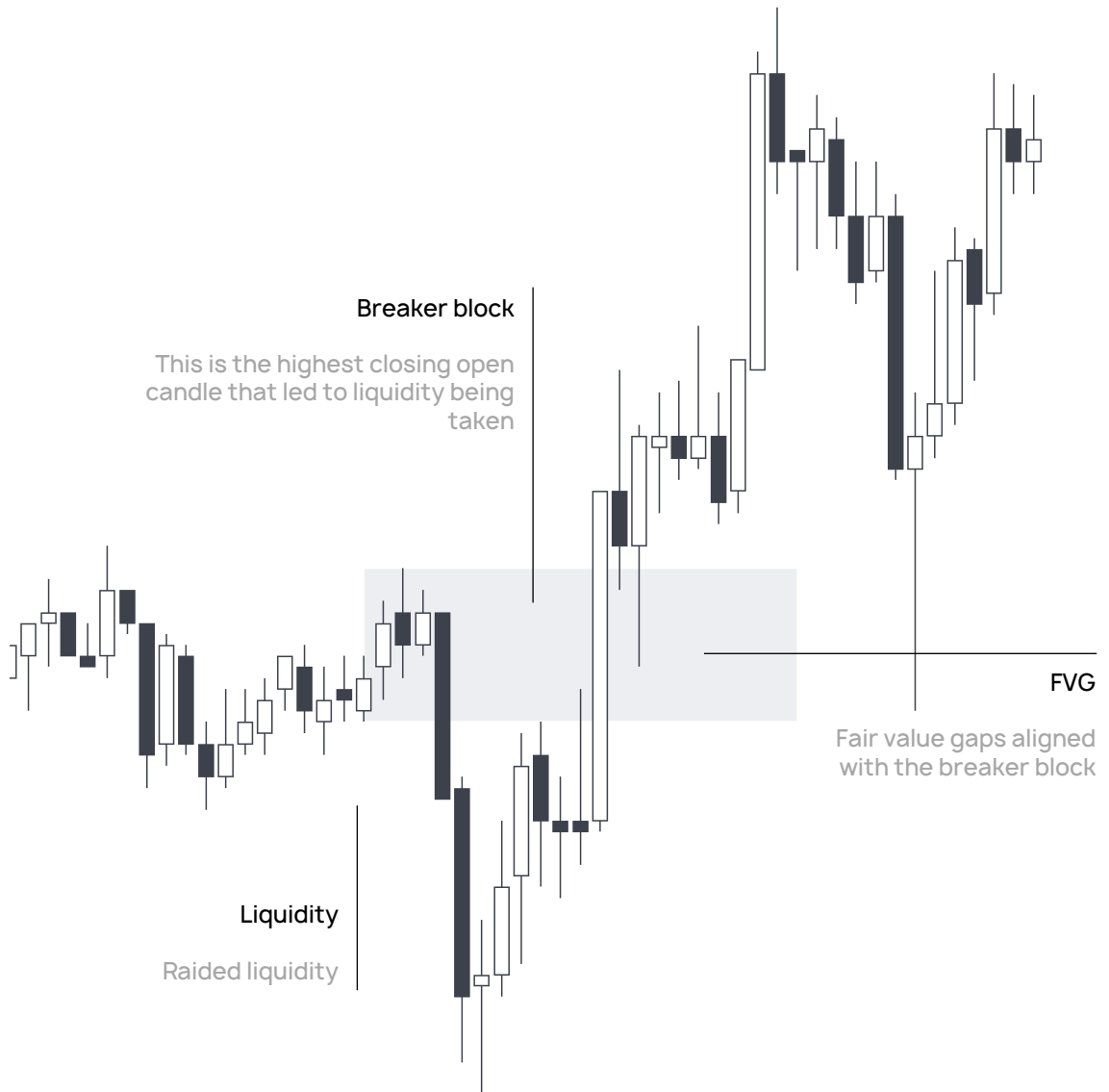
The *breaker* block

In detail!



The *breaker* block

In detail!

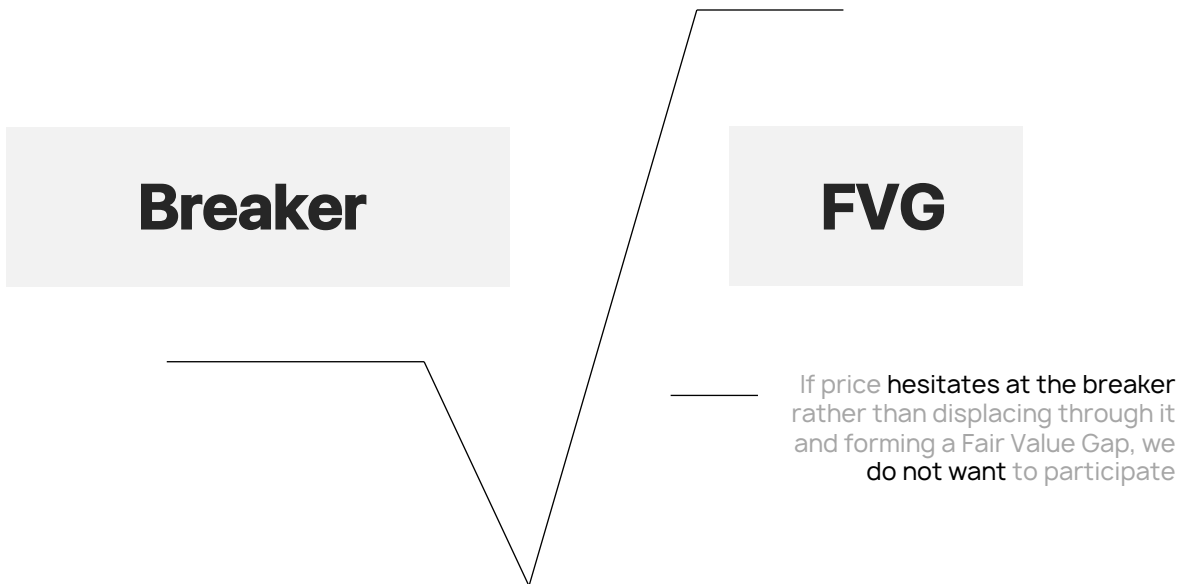


Unicorn.

That is a unicorn [FVG inside of a breaker] one of the strongest algorithmic entry positions ever...especially after you have taken out liquidity on opening price.

Displacement.

Displacement is the speed and strength of a price move; we desire price to trade strong through a breaker without hesitation, we can identify this with an FVG aligned alongside the breaker.



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We can see price moved through the breaker without hesitation, there was no consolidation or stoppage, price displaced.



Unicorn.

That is a unicorn [FVG inside of a breaker] one of the strongest algorithmic entry positions ever...especially after you have taken out liquidity on opening price.

EXAMPLES



[1]

Here price raided liquidity upon opening price, before animating a market structure shift, this aligned with Breaker + FVG at the New York open provides us with the Unicorn setup. Smooth highs were the target and ultimate frame of the trade.

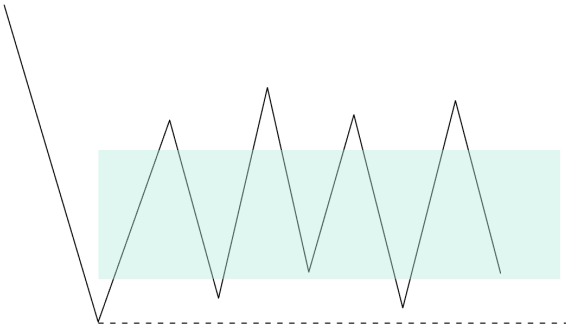
[2]

Price again raided equal lows [liquidity] upon opening before forming our entry function towards smooth edges, we can see the displacement through the breakers without hesitation



[1]

Opening price /what we're looking for?



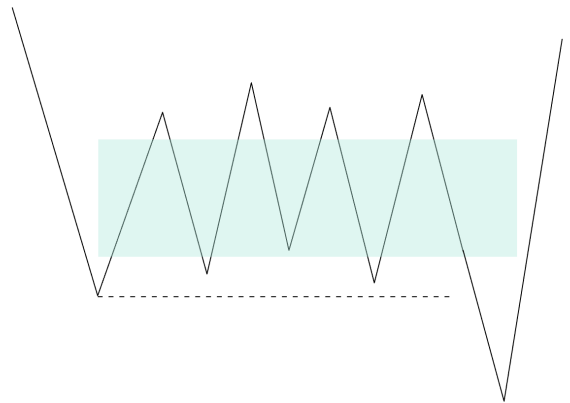
Liquidity manufactured upon opening price, this will be a clear pool of liquidity, either highs or lows.

THE PROCESS

Step by step !

[2]

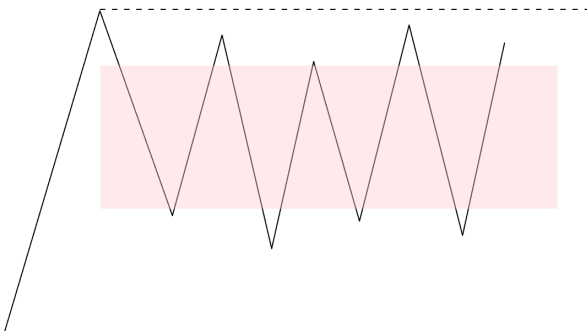
Judas /what we're looking for?



Price will raid this manufactured liquidity at or slightly after open in the opposing direction, labelled as 'judas'

[3]

Target /Smooth edges



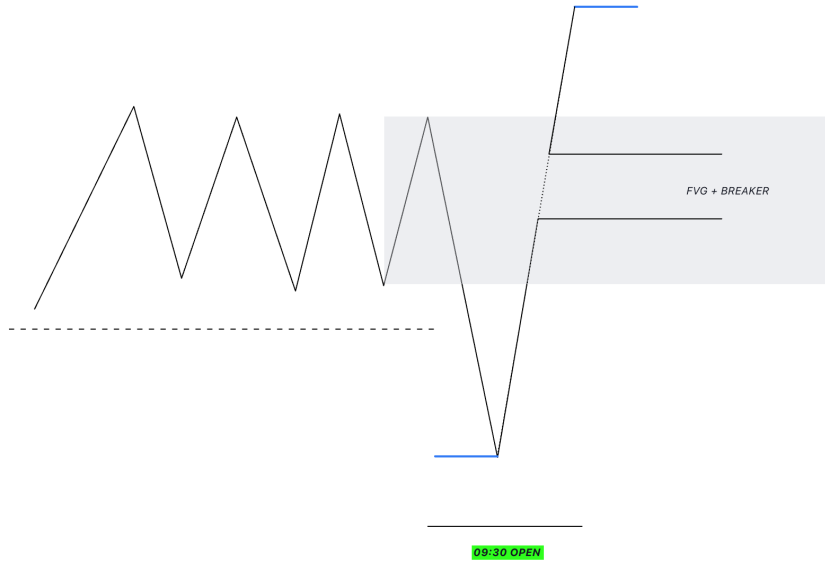
Our target should be smooth edges, also known as equal high and lows, this is a compulsory variable that must be present.

NOW THE ENTRY

Step by step !

[4]

Displacement /essential !

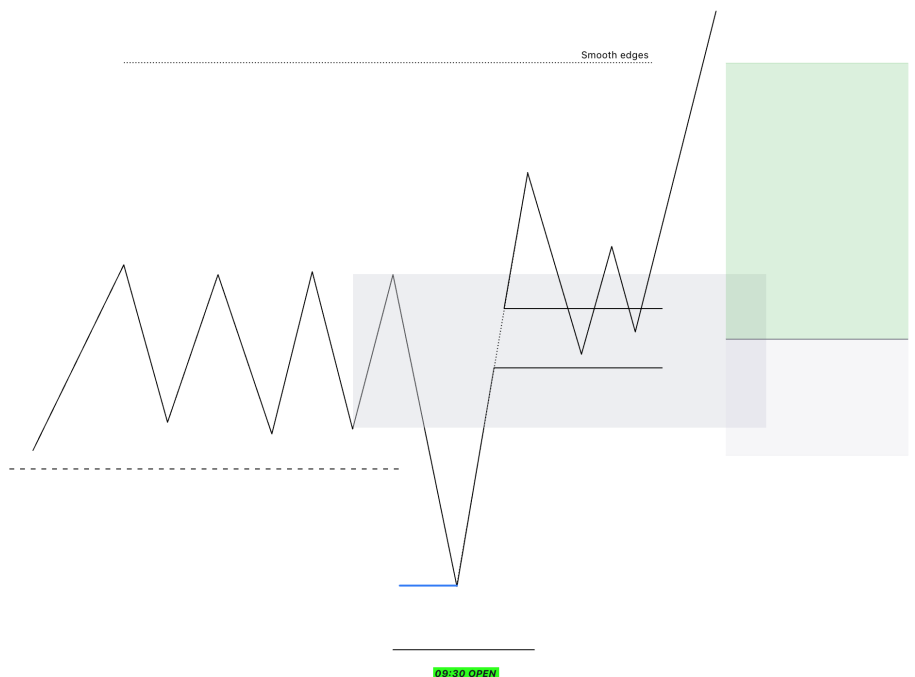


We must see displacement through the breaker which ultimately results in a breaker + FVG aligned with each other

[4]

Entry /fair value gap

Once we can identify these variables, more specifically, a FVG + breaker, we can take the position towards the smooth edges



Framework.

Framework begins with understanding each concept and being able to identify and define them. Framework begins with having the right mindset and mental to be able to implement the concepts. Framework begins with obtaining a bias from the daily chart then generating a narrative from the concepts that align with the bias.

The morning begins with analysing the daily and searching for our concepts. We are searching for smooth edges (a draw on liquidity). We are searching for FVG, SMT, or breakers. Higher time frame draws on liquidity and PD arrays give us the understanding of what price wants to reach for and an area of interest we can join price in the move to the draw. We are searching for order flow. We are searching for any market structure shifts. This helps us generate our bias.

When we have an understanding of higher time frame order flow and draw on liquidity we then move to the 15M chart. The 15M chart is our bellwether chart. We are analysing the 15M chart in the same fashion as the daily. We are looking for the same tools as price is fractal. When you begin to get further confirmations to your idea across different time frames it begins to generate higher probability. For example; when you see a volume imbalance on the daily that you are looking to act as a buy-side draw on liquidity. Then you get down to the 15M time frame and you see at that same location on the 15M chart left equal highs there or (smooth edges) this provides further confirmation of the draw on liquidity seeing that both time frames have defined and concise draw at this location.

Once you have a bias from the daily. A clear higher time frame draw on liquidity. A narrative generated from the 15M then we wait for hunting hours to participate. The first thing we do to understand when to participate is look at the economic calendar. Along with understanding hunting hours we need to understand the important times during the day when the high impact drivers are released. If there are NO high impact drivers we use 9:30am NY open as the volatility injection. If there is no high impact drivers present it is also a time to be patient and understand there may be less efficient price due to no liquidity injection.

This is when we begin to use the macros. We do not place ourselves right in front of a high impact news driver. Therefore if there is a high impact driver (red folder) at 10am then we will look to place ourselves in the 10:50-11:10 macro. If the high impact news driver is at 8:30am then we can search for any of the morning macros. Time and price need to align. We do not participate whenever we feel like it. We analyse price to have a bias. Therefore we know to only look for one direction. when we go to participate in that direction we only do it at certain times contingent upon liquidity injections. We are looking to make the window of opportunity as defined as possible so there is no question to our actions.

Framework.

Now let me try to put all the pieces together to provide a clear insight to the framework.

Before NY Open, we analyse the daily. We see price has swept a higher time frame low and created a market structure shift. Since the sweep price has been making higher highs and higher lows. We have daily FVG's that continue to provide support for price to continue its bullish order flow. Resting above we have an unfilled volume imbalance to act as a clear draw on liquidity.

Next, we analyse the 15M. The 15M chart shows very clear and concise smooth edges at the same location as the daily volume imbalance.

The 15M also has a +breaker that has formed heading into NY open.

We have a clear order flow. We have a clear draw on liquidity. We have a clear area of interest to join price with the 15M +breaker.

Now we check the economic calendar, and we see that there is a high impact driver at 8:30am.

We wait until NY open. During NY open we see price start to pull back (judas swing) lower into the 15M +breaker. Once price reaches the 15M +breaker we then get into a time frame we execute on. At this point we are now on the 5M chart.

On the 5M chart it is now 9:50am. Price is in our area of interest, and we see a short term low swept. After the short-term low is swept a displacement higher comes into the market that causes a market structure shift and leaves and FVG. We now have all of our criteria to enter the market.

It is the right time of day. We have a clear draw on liquidity. All of our criteria for an entry trigger is present. At this point in time you size your risk correctly and entry the trade.

If any of these justifications to your actions are missing this is the first thing showing you to not participate. We are only allowed to participate when all concepts are aligned.

Risk during participation should be 1% or lower per trade of your total account size. Preferably .5% per trade is optimal. We are only allowed to participate once per session. There is no revenge trading. There is no over trading. ONLY ONCE PER SESSION and that is ONLY WHEN ALL CRITERIA IS ALIGNED. When risking you then aim for 1:2rr.

Examples.

Judas at NY open. Bearish unicorn during 09:50 – 10:10 Macro. Sell side target completed 08:30 Red folder



Judas at NY open. Bullish unicorn for 11:50 – 12:10 macro. Buyside target completed No Red folder



Examples.

Judas at NY open. Bearish unicorn for 10:50 – 11:10 macro. Sell side target completed 08:30 Red folder



Judas at NY open. Bearish unicorn for 09:50 – 10:10 macro. Sell side target completed No Red folder



Examples.

Judas at NY open. Bullish unicorn for 09:50 – 10:10 macro. Buyside target completed

08:30 Red folder



Video examples.

Video 1

Unicorn example 1

Video 2

Unicorn example 2

Video 3

Unicorn example 3

Video 4

Unicorn example 4

Video 5

Unicorn example 5

Video 6

Unicorn example 6

These videos breakdown and show live price examples of the Unicorn model in action.

Once you're able to identify the particular variables with a degree of accuracy, it can become easy to execute.

Ensure you only participate in high probability environments and limit your exposure each day, strict risk management is essential.